

Financial Statements

Financial statements are reports that tell us how a business is doing financially. They are essential for understanding if a business is making money, managing its resources well, and staying financially healthy.

1. Types of Financial Statements

There are four main types of financial statements:

1. **Income Statement (Profit and Loss Statement):** Shows money earned (revenue) and money spent (expenses) over a period.

- **Formula:** $\text{Net Income} = \text{Revenues} - \text{Expenses}$
- **Purpose:** Tells if the company is making a profit or loss.

2. **Balance Sheet:** Shows what the company owns (assets), owes (liabilities), and what's left for the owners (equity) at a specific point in time.

- **Formula:** $\text{Assets} = \text{Liabilities} + \text{Equity}$
- **Purpose:** Provides a snapshot of the company's financial position.

3. **Statement of Cash Flows:** Shows how cash comes in and goes out of the business over a period.

1. Divided into:

- **Operating Activities:** Cash from regular business operations.
- **Investing Activities:** Cash from buying or selling assets.

- **Financing Activities:** Cash from loans or investments.

- **Purpose:** Shows if the company has enough cash for daily operations and future growth.

4. **Statement of Changes in Equity:** Shows changes in the owner's stake in the company over time due to profits, losses, or personal withdrawals.

- **Purpose:** Shows the impact of profit, investments, or withdrawals on ownership.

2. Why Financial Statements Matter

- They help check if a business is making money or spending too much.
- Show if a company has enough cash to pay its bills and grow.
- Are required by law for public companies to be transparent with investors.

3. Simple Example of Each Statement

Income Statement Example

Item	Amount
Revenue	\$10,000
Expenses	-\$4,000
Net Income	\$6,000

Balance Sheet Example

Item	Amount
Assets	\$8,000
Liabilities	\$2,000
Equity	\$6,000

Summary

Financial statements help us understand how a business is doing by showing its income, spending, cash flow, and ownership. They include the **Income Statement**, **Balance Sheet**, **Statement of Cash Flows**, and **Statement of Changes in Equity**—all giving different insights into the company's finances.